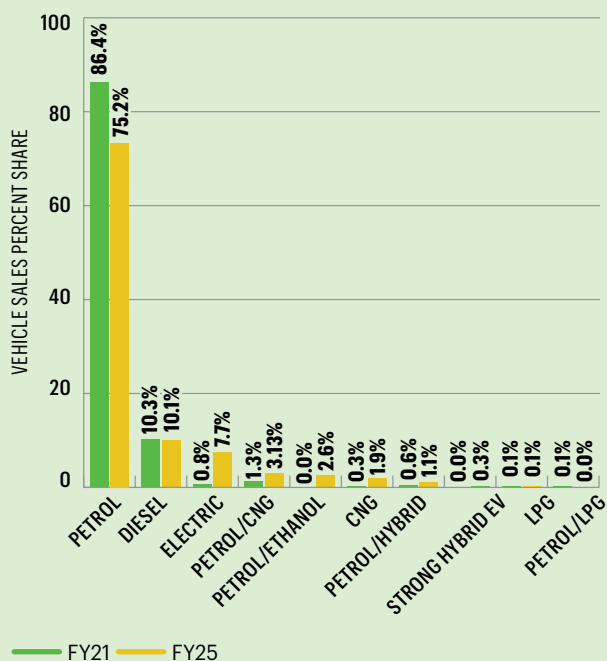


CHARGED UP

- India targets 30% EV penetration by 2030
- At present, the share of EVs and hybrids is 8%



SOURCE VAHAN (MINISTRY OF HEAVY INDUSTRIES)

terim option. According to Deloitte's 2025 Global Automotive Consumer Study, 33% of Indian consumers prefer hybrid electric vehicles (HEVs), while 12% view plug-in hybrids (PHEVs) as a more sustainable and economical option.

According to Grant Thornton's Mehra, hybrid vehicles, which combine internal combustion with electric propulsion, bridge the gap by improving fuel efficiency and reducing emissions without relying entirely on charging infrastructure. "Hybrid and hydrogen vehicles are gaining traction in markets where full electrification faces infrastructural or range-related challenges," says Mehra.

At present, Maruti Suzuki has the largest hybrid vehicle portfolio. By 2030, it wants hybrid vehicles to account for 15-20% sales. "All our efforts are to maximise EV adoption. EV penetration will not be 100% tomorrow. It is important to reduce carbon emissions from the rest of the fleet. Strong hybrids reduce CO₂ emissions by over 30%," says Bharti.

Several automakers have retraced their hybrid strategy. Hyundai Motor India has announced plans to bring hybrids to the domestic market despite earlier apprehensions. Honda has also scaled back its global EV plans to focus on hybrids. "By 2030, we will strive to grow further and achieve total automobile sales volume above the current level of 3.6 million units, with a HEV sales target of 2.2 million units," President and CEO Toshihiro Mibe said during the 2025 Business Briefing on May 20.

CNG ALTERNATIVE

Unlike hybrids and EVs, CNG powertrains have managed to woo customers. They are, after all, not only economical but also sustainable. CNG accounts for over 15% of the domestic automobile market. Grant Thornton's Mehra says CNG vehicles provide an immediate reduction in CO₂ and particulate matter, making them a practical transitional solution, particularly for public transport and commercial fleets.

Automakers like Maruti Suzuki, Tata Motors and Hyundai are bullish on CNG. Every third car sold by Maruti Suzuki is CNG. The company is aiming for 35% CNG penetration by 2030. CNG models accounted for 25% of Tata Motors' sales in FY25. "It has been rocking for the last few years. It has seen 30% year-on-year rise despite 2% growth for the industry," says Chandra. According to Mehra, in 2024, CNG vehicles saw the strongest sales growth of 46%, driven by affordability, fuel efficiency and popularity among cost-conscious buyers and commercial users. Despite this, CNG penetration is likely to face a hurdle owing to the limited number of CNG stations.

ACHIEVING THE TARGET

By embracing a multi-fuel strategy, the industry is laying a pragmatic foundation for sustainable mobility. While EVs remain the long-term goal, transitional technologies like hybrids and CNG will play a critical role in bridging gaps in infrastructure, affordability and customer readiness. "While the industry is on the right path—with increasing investments in EV infrastructure, battery manufacturing and sustainable mobility solutions—it is not yet fully on track to meet net-zero emissions by 2030. Instead, the sector is more realistically aligned with India's national net-zero target of 2070, with 2030 serving as a critical milestone for deep emission cuts and technology transition," says Mehra. **BT**

@orielastha11